23STCV18073 23STCV18073

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Case Number: 23STCV18073 Hearing Date: July 2, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: July 2, 2026

Case Name: Lancaster Eagle, LLC v. Bartz-Altadonna Community

Case No.: 23STCV18073

Matter: Motion for Summary Judgment or, in the Alternative, Summary Adjudication

Moving Party: Defendant Pacific Premier Bank, doing business as Commerce Escrow Company

Responding Party: Plaintiff Lancaster Eagle, LLC

Tentative Ruling: Defendant Pacific Premier Bank doing business as Commerce Escrow Company’s motion for summary judgment or in the alternative summary adjudication is denied.

Plaintiff Lancaster Eagle, LLC (“Plaintiff”) a California limited liability company filed this action against Defendants Bartz-Altadonna Community Health Center, a California nonprofit corporation, Caster Modelo, LLC ("Caster"), a California limited liability company, Payam Bahari, Haim Bahari, Pacific Premier Bank ("Defendant"), a California corporation, Board Member Does 1 through 15 and Does 16 through 50. The Second Amended Complaint ("SAC") alleges three breach-of-contract claims and one cause of action for specific performance.

The SAC alleges only the third cause of action against Defendant Pacific Premier Bank.

Defendant moves for summary judgment, or alternatively, summary adjudication as to the third cause of action and the only cause of action against it. Plaintiff opposes.

Legal Standard

"The party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law."¿(Aguilar v. Atlantic Richfield Co.¿(2001) 25 Cal.4th 826, 850.) A triable issue of material fact exists if the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof. (Ibid.)¿

¿

"When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment."¿(Avivi v. Centro Medico Urgente Medical Center¿(2008) 159 Cal. App. 4th 463, 467; Code Civ. Proc. § 437c, subd. (c).)

Request for Judicial Notice

Defendant

requests that the Court take judicial notice of eight court records from the present action and a different action in the related case Newman, et al. v. Bahari, et al. LASC No. 22STCV39168 ("Related Case"). The document requests include: (1) the Complaint in Related Case; (2) Temporary Protective Order in Related Case; (3) First Amended Complaint in this action; (4) Defendant's Cross-Complaint for Interpleader; (5) Caster's Verified Answer; (6) Plaintiff's Answer; (7) Defendant's Deposit of Funds Pursuant to Code of Civil Procedure section 386.1; and (8) Plaintiffs SAC.

The Court
grants judicial notice of all eight documents pursuant to Evidence Code section 452, subdivision (d). The Court takes judicial notice of the existence of these documents and not the statements therein. (Day v. Sharp (1975) 50 Cal.App.3d 904 ["a court cannot take judicial notice of hearsay allegations as being true, just because they are part of a court record or file. A court may take judicial notice of the existence of each document in a court file, but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments."]

Evidentiary Objections

Plaintiff
made eight evidentiary objections to Raul Zuniga's declaration. The Court overrules all eight evidentiary objections.

Defendant
made five evidentiary objections to Morad Ben Neman's declaration. The Court rules in the following manner:

Sustained:
4 (Hearsay/Irrelevant), 5 (Improper legal conclusion/opinion)

Overruled:
1, 2, 3

Analysis

Defendant
moves for summary judgment as to Plaintiff's third cause of action, or in the

alternative, summary adjudication as to the three following issues: (1) Plaintiff's third cause of action against Defendant for breach of written contract fails as a matter of law because Defendant complied with the parties' mutual escrow instructions; (2) Plaintiff's third cause of action against Defendant for breach of written contract fails as a matter of law because Defendant is entitled under the escrow agreement to hold and interplead contested funds; and (3) Plaintiff's third cause of action against Defendant for breach of written contract fails because the contested funds have been deposited with the Court pursuant to Code of Civil Procedure section 386 et seq.

Preliminary
Issues with the Separate Statement

Code of
Civil Procedure section 437c, subdivision (b)(1) states that "[t]he supporting papers shall include a separate statement setting forth plainly and concisely all material facts that the moving party contends are undisputed. Each of the material facts stated shall be followed by a reference to the supporting evidence. The failure to comply with this requirement of a separate statement may in the court's discretion constitute a sufficient ground for denying the motion." (Code Civ. Proc. § 437c, subd. (b)(1).) "'The separate statement serves two important functions in a summary judgment proceeding: It notifies the parties which material facts are at issue, and it provides a convenient and expeditious vehicle permitting the trial court to hone in on the truly disputed facts.'" (Beltran v. Hard Rock Hotel Licensing, Inc. (2023) 97 Cal.App.5th 865, 875.)

The
contents of the separate statement in the opposition,

(1) [e]ach material
fact claimed by the moving party to be undisputed must be set out verbatim on the left side of the page, below which must be set out the evidence said by the moving party to establish that fact, complete with the moving party's references to exhibits.

(2) On the right
side of the page, directly opposite the recitation of the moving party's statement of material facts and supporting evidence, the response must unequivocally state whether that fact is "disputed" or

"undisputed." An opposing party who contends that a fact is disputed must state, on the right side of the page directly opposite the fact in dispute, the nature of the dispute and describe the evidence that supports the position that the fact is controverted. Citation to the evidence in support of the position that a fact is controverted must include reference to the exhibit, title, page, and line numbers.

(Cal. Rules of Court, rule 3.1350(f)(1)-(2).)

The Court
notes that Defendant did not separate each issue for its basis in its motion for summary adjudication. However, Plaintiff did not raise this procedural issue, and the Court finds that Plaintiff was put on notice of the issues raised in its motion and that the use of undisputed material fact ("UMF") was the same for each issue.

On the
other hand, Plaintiff's response to the separate statement contains defects. First, Plaintiff did not take each of Defendant's UMFs and copy it verbatim. Instead, Plaintiff has modified a majority of the UMFs and condensed them, requiring the Court to verify what Defendant originally inputted. Moreover, Plaintiff did not properly respond to the UMF as undisputed or disputed and instead responded as "disputed as incomplete," "disputed as to characterization" and "disputed as to materiality and meaning." (UMF 7, 13, 18-20.) Failure to comply with the requirement of a "separate statement may constitute a sufficient ground, in the court's discretion, for granting the motion." (Code Civ. Proc., 437c, subd. (b)(3).) In the interests of judicial efficiency, the Court will consider Plaintiff's separate statement.

Motion
for Summary Judgment

"To
prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

""An escrow
holder is an agent and fiduciary of the parties to the escrow. [Citations.] The

agency created by the escrow is limited—limited to the obligation of the escrow holder to carry out the instructions of each of the parties to the escrow. [Citations.] If the escrow holder fails to carry out an instruction it has contracted to perform, the injured party has a cause of action for breach of contract. [Citation.] . . . Absent clear evidence of fraud, an escrow holder's obligations are limited to compliance with the parties' instructions. [Citations.]" [Citation.] (Markowitz v. Fidelity Nat. Title Co. (2006) 142 Cal.App.4th 508, 526 (citations omitted).) "In delimiting the scope of an escrow holder's fiduciary duties, then, we start from the principle that "[a]n escrow holder must comply strictly with the instructions of the parties. [Citations.]" [Citation.] On the other hand, an escrow holder "has no general duty to police the affairs of its depositors"; rather, an escrow holder's obligations are "limited to faithful compliance with [the depositors'] instructions."" (Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co. (2002) 27 Cal.4th 1160A, 710, as modified on denial of reh'g (May 15, 2002) (citations omitted).)

The parties do not dispute that on December 16, 2022, Plaintiff initiated the related action. (UMF 1) Plaintiff and Caster, as sellers, agreed to enter into an agreement to sell the Subject Property, 42933 Business Center Parkway, Lancaster, CA 93535, to Bartz-Altadonna Community Health Center. (UMF 2) The Plaintiff and Caster signed and agreed to the escrow instructions. (UMF 5, 6.) The Additional Escrow Instructions ("Escrow Instructions") state that:

32. Conflicting Demands/Instructions & lnterpleader Actions: If conflicting demands are made upon Escrow Holder or notice is given of any controversy or legal action between the parties or third person(s) for this escrow, Escrow Holder shall not be required to determine or resolve conflicting demands or claims or take any action, but has the absolute right to stop and withhold all further proceedings to perform this escrow, without liability, until any such conflicting demands or claims have been determined, resolved, or eliminated by mutual written agreement of the parties, a valid amendment or supplement to the escrow instructions, or a final order or judgment of a court of competent jurisdiction in form satisfactory to Escrow Holder is deposited into escrow. Escrow may also, at its sole discretion, sue in interpleader or declaratory relief action, and are instructed and authorized to deposit any documents or funds which are the subject of conflicting demands or claims with the court under any such action, less Escrow Holder's escrow fees, costs, and

attorneys fees incurred. The Parties acknowledge and understand that any irrevocable escrow instruction received and accepted by Escrow Holder are not subject to conflicting demands. Irrevocable escrow instructions can be amended or revoked only with the written consent of the Parties to the irrevocable escrow instructions. Escrow Holder shall have no liability for complying with its irrevocable escrow instructions of its Parties.

(Zuniga Decl., Ex. A., ¶ 32.)

Defendant
contends that it is entitled to summary judgment because it did not breach the Escrow Instructions because it did not disburse the $164,000 held in escrow that Plaintiff argues it is entitled to. The Escrow Instructions are clear that when conflicting demands arise, Defendant was not required to investigate, but had the “absolute right” to stop and withhold funds until the conflicting claims “have been determined, resolved, or eliminated by mutual written agreement of the parties, a valid amendment or supplement to the escrow instructions, or a final order or judgment of a court of competent jurisdiction in form satisfactory to Escrow Holder is deposited into escrow.” (Ibid.)
Here, the evidence before the Court is that there was a pending action between the parties, in which the Court issued a Temporary Protective Order (“TPO”) regarding the sale proceeds, in effect until October 26, 2023. (UMF 8-9) On September 28, 2023, Caster’s Counsel and Plaintiff’s Counsel confirmed that the TPO was limited only to the expected proceeds of $1,740,312.50. (UMF 10) But the next day, on September 29, 2023, the parties began to dispute the terms of the TPO and the disbursement of funds. (Zuniga Decl., Ex. D; UMF 10-12, 14.) On October 5, 2023, Plaintiff and Caster agreed that Plaintiff would be entitled Other Debits/Credits as follows and signed the Seller’s Estimated Net Proceeds:

Lancaster
Eagle 128,000.00

Lancaster
Eagle 200,000.00

Holdback of
Caster Modelo's Portion 1,740,312.50

(Zuniga Decl., Ex. E; Zuniga Decl. Reply, Ex. I.)

However, the parties later began disputing the calculation of the amounts each was owed, and they did not agree on an amount. (Zuniga Decl., Ex. G-H.) Defendant did not breach the Escrow Instructions by withholding the amount the parties previously agreed each was entitled to, but later disputed. Defendant chose to exercise the terms of the Escrow Instructions, which it was entitled to.

Moreover, Defendant has also exercised its contractual and statutory right under Code of Civil Procedure section 386 to interplead the disputed funds. Code of Civil Procedure section 386 provides that "[a]nd whenever conflicting claims are or may be made upon a person for or relating to personal property, or the performance of an obligation, or any portion thereof, such person may bring an action against the conflicting claimants to compel them to interplead and litigate their several claims." (Code Civ. Proc., § 386; see Security Trust etc. Bank v. Carlsen (1928) 205 Cal. 309, 313.) On March 13, 2024, Defendant filed a Cross-Complaint in interpleader. (RJN, 4.)

Furthermore, on July 15, 2024, Defendant deposited $164,000 with the Court pursuant to Code of Civil Procedure section 386.5. (RJN, 8; UMF 30.) Code of Civil Procedure section 386.5 states that:

Where the only relief sought against one of the defendants is the payment of a stated amount of money alleged to be wrongfully withheld, such defendant may, upon affidavit that he is a mere stakeholder with no interest in the amount or any portion thereof and that conflicting demands have been made upon him for the amount by parties to the action, upon notice to such parties, apply to the court for an order discharging him from liability and dismissing him from the action on his depositing with the clerk of the court the amount in dispute and the court may, in its discretion, make such order.

(Code Civ. Proc., § 386.5.)

Thus, Defendant has met its initial burden of showing that it is entitled to summary judgment because it has established that there is no triable issue of material fact as to Plaintiff's third cause of action against it. The burden thus shifts to Plaintiff to establish that a triable issue of material fact exists that warrants the denial of the motion.

Plaintiff argues that Defendant's motion does not address the breach that took place at the time of closing in October 2023. (Opp., 2:12-13.) However, the Court finds this argument unpersuasive. The SAC alleges that Defendant breached its agreement by calculating the incorrect amount from the proceeds. (SAC, ¶ 37.) Defendant's motion for summary judgment addresses the merits of Plaintiff's allegations against it through its performance on the Escrow Instructions.

Plaintiff also argues that a question of fact exists as to whether Defendant breached the escrow instructions by "deducting the $200,000 from gross proceeds." (Opp., 5:24-26.) Plaintiff has produced the emails between the parties in which it instructed Defendant on the amount to which Plaintiff was entitled and the calculation to be used. (Plaintiff's Additional Material Fact 14, 15, 16; Neman Decl., ¶¶ 5-7, Ex. A-C; Defendant's Ex. E.) In reply, Defendant argues that Plaintiff is relying on an unsigned document, but the Court finds that this argument does not change the outcome of this motion and that a triable issue of material fact exists as to whether Defendant breached the Escrow Instructions following the agreement between Plaintiff and Caster. In motions for summary judgment, it is not the Court's role to weigh the admissible evidence; it is the Court's role to review the evidence and determine whether a triable issue of material fact exists. Thus, the Court finds that Plaintiff has established that a triable issue of material fact exists; thus, the dispute cannot be resolved by motion for summary judgment at this time.

Thus, Defendant's motion for summary judgment or in the alternative summary adjudication is denied.

Conclusion

Defendant Pacific Premier Bank doing business as Commerce Escrow Company's motion for summary judgment or in the alternative summary adjudication is denied.